Punchlist
Real Estate, LLC

PUNCHLIST CAPITAL · DEVELOPMENT SUMMARY

Harbor Point Residences

Stamford, CT · Multifamily · 120 units · 132,000 SF

DEVELOPMENT | 24-MONTH CONSTRUCTION | STABILISED MONTH 43 | BASE CASE

DEAL BRIEF FIXTURE — deal_brief.js

The base deal with the brief's financing, reserve and waterfall terms entered. Some terms below are interpretations, not confirmed deal terms.

FINANCING AND WATERFALL ASSUMPTIONS

- Fixed facility $27.3M, balance ceiling $34.0M incl. capitalised interest, equity funds the first $14.7M
- 1.00% fee; 0.50% a year unused-commitment fee; 7.25% interest
- Initial reserves $2.0M: $750k operating (at completion), $750k + $500k held (at close)
- Preferred return to the LP only
- Equity 90.00% LP / 10.00% GP; hurdles tested on the LP's dated flows
- Preferred return 8.00%, then 12.00% and 18.00% IRR hurdles
- Splits to LP: 80.00% / 70.00% / 60.00%
- GP catch-up at 50.00% to a 20.00% share of profit
- Cost: $41.95M budget incl. $2.0M contingency (hard $24.95M + $2.0M, soft $5.0M, land $7.0M); 4-year hold
- Interest capitalised through stabilisation only (capitalising through the sale is not supported by the model)

ASSUMPTIONS PENDING DEAL-TEAM CONFIRMATION

Not established deal terms.

- Catch-up target of 20.00% of profit (not in the brief)
- LP-only preferred return, and that the LP account (capital and pref) is paid first (the brief is silent)
- Four brief reserve buckets entered as three; which may pay interest or shortfalls
- Whether fees count inside the $14.7M equity-first amount

LEVERED IRR	EQUITY MULTIPLE	TOTAL PROJECT COST	EQUITY REQUIREMENT
32.49%	**2.85x**	**$45.27M**	**$15.08M**
hurdle 12.00%	$27.94M profit	$377,246 per unit	$27.30M construction loan

DASHBOARD

LEVERED IRR	EQUITY MULTIPLE	NET LP IRR	YIELD ON COST
32.49%	**2.85x**	**27.92%**	**8.91%**
Base case	$27.94M profit	after promote	stabilised NOI $3.56M

DEVELOPMENT SPREAD	PROJECT COST	STABILISED VALUE	CONSTRUCTION LOAN
296 bps	**$45.27M**	**$72.08M**	**$27.30M**
over exit cap · policy 150	$39.95M before financing	at 5.00% exit cap	71.00% of cost · 7.25%

Summary of investment

Harbor Point Residences is a 120-unit multifamily ground-up development in Stamford, CT of about 132,000 SF. The plan is to buy the site for $7.00M, build over 24 months, lease up over 17 months to stabilisation in month 43, and sell in month 48. Total cost is $45.27M ($377,246 a unit), funded by $15.08M of equity (33.00%) and a $32.19M construction loan at 7.25% (71.00% of cost). There is no permanent takeout: the $32.19M construction loan stays outstanding after stabilisation and is repaid from the sale proceeds at month 48.

In the Base case the deal returns **32.49%** levered and **2.85x** ($27.94M of profit on $15.08M of equity), and 22.32% before financing: **20.5 points above** the 12.00% hurdle. The return rests on a 8.91% stabilised yield on cost against a 5.00% exit cap (391 bps of development spread), and 94.00% of what equity gets back arrives at the sale. It stays above the hurdle if the exit cap widens by up to 199 bps, or rents fall 22.00%, or hard costs overrun by 52.00%, one at a time.

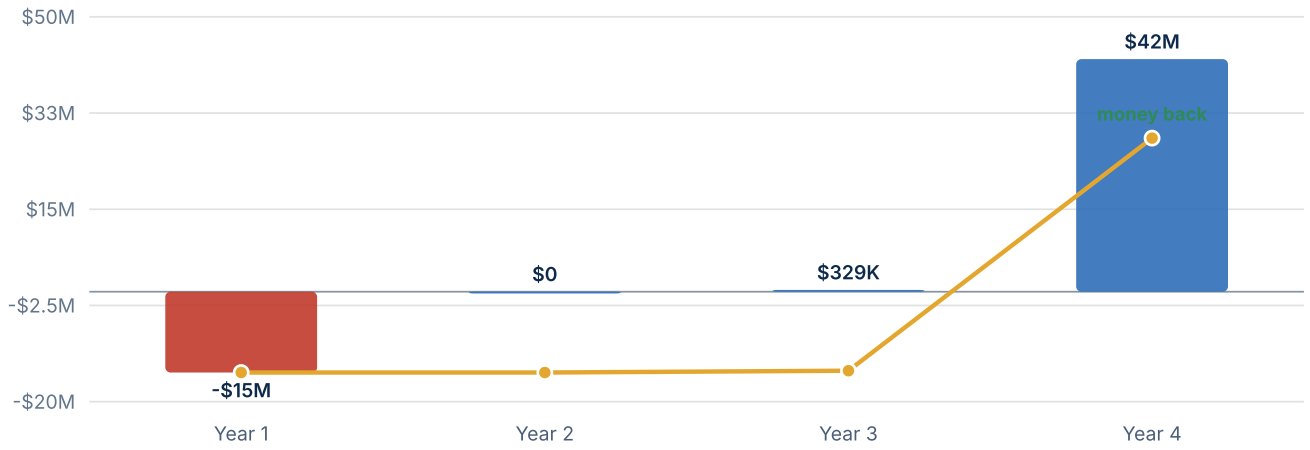
Model checks: 0 failed, 1 warning, 22 passed, 0 not applicable; to know: costs exceed what equity plus the commitment can fund. Credit gate: **CONDITIONAL**. These are projections from the assumptions entered, not guarantees; see the pages that follow for the basis of each figure.

Levered return against the hurdle



Equity cash flow

Each year's cash to equity; the line is the running total. Equity is funded through construction and lease-up, then returned from operations, the takeout and the sale.



RETURNS AND WHAT THEY REST ON

PROPERTY

Total development cost (before financing)	$39,950,000 · $332,917 per unit · $303 per GSF
All-in cost (with fees and interest)	$45,269,505
Stabilised NOI (after reserves)	$3,558,877
Yield on cost	8.91%
Development spread over exit cap	391 bps
Gross / net sale value	$72.25M / $70.80M
Unlevered profit	$34,229,818
Unlevered IRR / multiple	22.32% / 1.86x

EQUITY, LP AND GP

Equity requirement (peak contributed)	$15,078,576
Total contributions / distributions	$15,078,576 / $43,016,455
Levered profit	$27,937,878
Levered IRR / multiple	32.49% / 2.85x
Equity beyond the planned amount	$378,576
LP: contributed · IRR · multiple	$13,570,719 · 27.92% · 2.49x
GP: contributed · IRR · multiple	$1,507,858 · 61.07% · 6.08x
GP promote	$6,670,273

Contributions and distributions are gross: equity called, and any month's cash shortfall the partners fund, are contributions; the surplus is a distribution. The multiple is total distributions over total contributions. IRRs are XIRR on actual dated cash flows. Equity payback is month 48 of 48.

> The deal clears its 12.00% hurdle by **20.5 points** at 32.50% levered (22.30% unlevered): leverage adds about 10.2 points, at the cost of $4,890,929 of capitalised interest and equity paying $378,576 beyond the plan.

> The return is mostly a sale return: $38.61M comes back at exit after repaying $32.19M of debt. The stabilised yield on cost of 8.91% against a 5.00% exit cap is the whole development spread: each 25 bps of exit cap moves the sale value by about $3.44M.

BUDGET AND FUNDING

SOURCES	AMOUNT	%
Construction loan - draws	$27,300,000	57.75%
Construction loan - interest capitalised	$4,890,929	10.35%
Equity	$15,078,576	31.90%
Total sources	**$47,269,505**	**100.00%**

Equity requirement includes any overflow beyond planned equity. Returns are measured on cash actually contributed, net of lease-up income ($15.08M).

USES	AMOUNT	%
Land	$7,000,000	14.81%
Closing costs	$250,000	0.53%
Pre-development	$750,000	1.59%
Hard costs	$26,950,000	57.01%
Soft costs	$5,000,000	10.58%
Capitalised interest	$4,890,929	10.35%
Loan fees	$428,576	0.91%
Initial reserves funded	$2,000,000	4.23%
Total project cost	**$47,269,505**	**100.00%**



Land 15.00% · Closing costs 1.00% · Pre-development 2.00% · Hard costs 57.00% · Soft costs 11.00% · Capitalised interest 10.00% · Loan fees 1.00% · Initial reserves funded 4.00%

Development timeline

Month numbers from closing.



DEBT AT SALE

Permanent loan	None
Construction loan after stabilisation	Stays outstanding; interest paid currently at 7.25%
Repaid from sale proceeds at month 48	$32.19M
Debt at sale	$32.19M

CONSTRUCTION FUNDING

Loan

Commitment	$27,300,000
Rate	7.25%
Drawn	$27,300,000
Interest capitalised	$4,890,929
Balance at takeout	$32,190,929

Equity

Planned	$14,700,000
Over plan	$378,576
Total	$15,078,576
Share of cost	33.31%

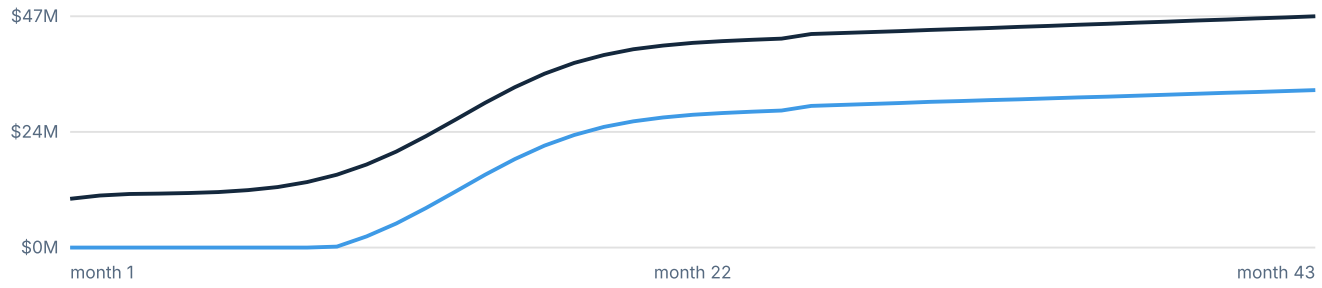
Timeline

Pre-development	2 months
Construction	24 months
Completion	month 26
Lease-up	17 months
Stabilised	month 43

$ THOUSANDS	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Q14	Q15	TOTAL
Phase · months	Pre-dev 1–3	Constr. 4–6	Constr. 7–9	Constr. 10–12	Constr. 13–15	Constr. 16–18	Constr. 19–21	Constr. 22–24	Constr. 25–27	Lease 28–30	Lease 31–33	Lease 34–36	Lease 37–39	Lease 40–42	Lease 43–43	
COSTS																
Land and closing	8,000	–	–	–	–	–	–	–	–	–	–	–	–	–	–	8,000
Hard costs	12	247	1,687	5,594	9,030	7,107	2,725	508	41	–	–	–	–	–	–	26,950
Soft costs and fees	1,415	116	317	595	766	675	408	169	68	88	88	88	88	88	29	5,000
Financing fees	273	–	–	–	–	–	–	–	–	–	–	–	–	–	–	273
Total costs	**10,961**	**396**	**2,038**	**6,222**	**9,820**	**7,795**	**3,138**	**678**	**861**	**88**	**88**	**88**	**88**	**88**	**29**	**42,379**
FUNDED BY																
Equity	10,961	396	2,038	1,305	–	–	–	–	–	–	–	–	–	–	–	14,700
Equity over plan	–	–	–	–	–	–	–	–	–	–	84	88	88	88	29	379
Construction loan draws	–	–	–	4,917	9,820	7,795	3,138	678	861	88	4	–	–	–	–	27,300
Total sources	**10,961**	**396**	**2,038**	**6,222**	**9,820**	**7,795**	**3,138**	**678**	**861**	**88**	**88**	**88**	**88**	**88**	**29**	**42,379**
CONSTRUCTION LOAN																
Beginning balance	–	–	–	–	4,932	14,900	23,020	26,601	27,770	29,142	29,763	30,309	30,862	31,425	31,998	
Draws	–	–	–	4,917	9,820	7,795	3,138	678	861	88	4	–	–	–	–	27,300
Interest capitalised	–	–	–	15	148	325	444	491	512	532	543	553	563	573	193	4,891
Ending balance	**–**	**–**	**–**	**4,932**	**14,900**	**23,020**	**26,601**	**27,770**	**29,142**	**29,763**	**30,309**	**30,862**	**31,425**	**31,998**	**32,191**	**32,191**
Loan to cost (incl. interest)	0.00%	0.00%	0.00%	25.12%	50.34%	61.03%	64.41%	65.39%	66.47%	66.94%	67.21%	67.48%	67.75%	68.01%	68.10%	68.10%
Cumulative cost	10,961	11,357	13,395	19,617	29,437	37,232	40,369	41,047	41,908	41,996	42,084	42,173	42,261	42,349	42,379	42,379

Cost to date and loan balance

Cumulative cost including capitalised interest (dark) and the construction loan balance (blue), by month from closing.



Figures in thousands of dollars. Each quarter's costs are funded by equity first, then the construction loan; interest is capitalised into the loan up to the commitment. Every figure is the funding engine's monthly schedule rolled up by quarter, through stabilisation.

UNIT ECONOMICS, OPERATIONS AND LEASE-UP

UNITS AND RENT

Units	120
Average rent / unit / month	$3,310
Annual potential rent	$4,766,400
Rent per unit per year	$39,720
Rent per GSF per month	$3.01

The unit mix by type is not entered for this deal; the model uses the units at an average rent. Enter it on Dev Lease-Up (by unit type) to show it here.

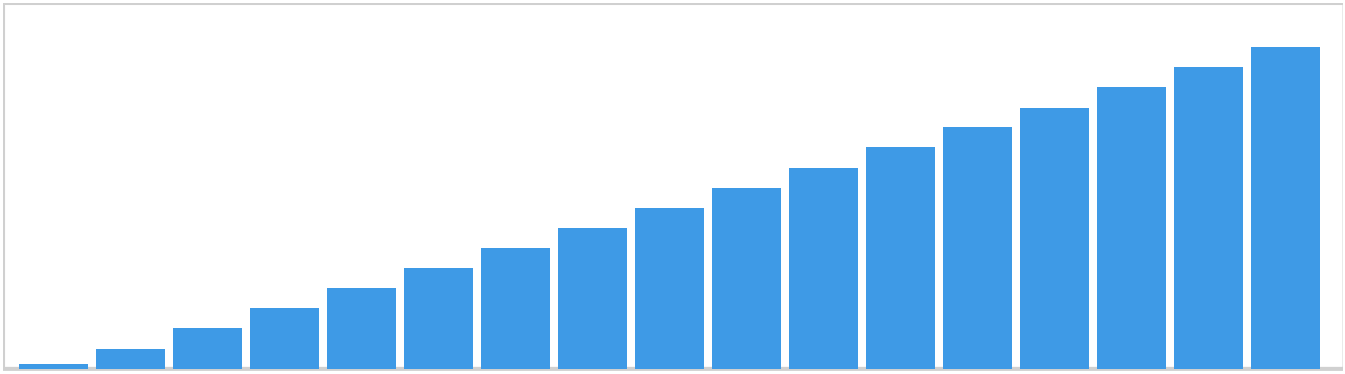
STABILISED OPERATING STATEMENT (ANNUAL)

Gross potential rent	$4,766,400
Vacancy and credit loss	($238,320)
Other income	$252,000
Effective gross income	**$4,780,080**
Operating expenses (incl. management $191,203)	($1,185,203)
Net operating income (before reserves)	**$3,594,877**
Replacement reserves	($36,000)
Cash flow after reserves	**$3,558,877**

Stabilised NOI is derived from the rent and expense inputs; it is never forced to a target. Expense ratio 24.80% of EGI.

Lease-up schedule

Construction completes in month 26; leasing runs 17 months to stabilisation in month 43. Occupancy ramps in a straight line; fixed costs run in full from completion, so the early months lose money.



month 26 — month 42 · 94.00% occupied

MONTHS	OCCUPANCY (END)	EGI	NOI AFTER RESERVES
Months 26–28	12.00%	$70,295	($190,017)
Months 29–31	29.00%	$281,181	$12,434
Months 32–34	47.00%	$492,067	$214,884
Months 35–37	65.00%	$702,953	$417,335
Months 38–40	82.00%	$913,839	$619,785
Months 41–42	94.00%	$726,385	$525,663

Rent growth 3.00% and expense growth 3.00% a year apply after stabilisation. Concessions: none.

FINANCING AND DEBT METRICS

CONSTRUCTION FACILITY

Facility commitment (fixed principal entered)	$27,300,000
Interest rate / origination fee	7.25% / 1.00%
Balance ceiling (principal + capitalised interest)	$34,000,000
Equity funds the first	$14,700,000
Loan draws	$27,300,000
Capitalised interest	$4,890,929
Interest paid by equity once the commitment is full	$0
Peak balance (before sale)	$32,190,929
Headroom left in the ceiling	$1,809,071
Unused-commitment fee (0.50% a year on undrawn principal)	$155,576
Repayment	Held after stabilisation (interest paid currently); $32,190,929 repaid from the sale

COVERAGE AND LEVERAGE

Loan to cost (all-in)	71.11%
Loan to value (stabilised value $72.08M)	44.66%
Debt yield (NOI / loan)	11.06%
Debt service coverage (stabilised NOI / annual debt service)	1.52x
Interest coverage	1.52x (interest only)
Annual debt service after stabilisation	$2,333,842

REFINANCE ALTERNATIVE AT STABILISATION (MONTH 43)

Permanent loan (65.00% LTV, no coverage test)	$46,850,000
Rate / amortisation	6.25% / 30 years
Repays the construction loan	$31,997,610
Refinance fees	$468,500
Net cash out to equity	$14,383,890
Takeout shortfall equity must fund	$0
Annual debt service	$3,461,562
DSCR / debt yield / LTV	1.04x / 7.69% / 65.00%
Value of the retained property (5.00% cap)	$72,077,280
Equity left in the deal	$25,227,280

Sized at the model's permanent-loan LTV with the coverage test switched off, so the coverage shown is what that loan would run at. A lender testing 1.25x coverage would lend less. This is a stabilisation-date illustration: the model still values and sells the property at the end of the hold; it does not model holding it afterwards.

DEVELOPMENT BUDGET

DEVELOPMENT BUDGET	AMOUNT	PER UNIT	PER GSF
Land	$7,000,000	$58,333	$53
Closing costs and acquisition fee	$250,000	$2,083	$2
Predevelopment	$750,000	$6,250	$6
Hard cost: trades	$22,250,000	$185,417	$169
Hard cost: general conditions, contractor fee and bonds	$2,700,000	$22,500	$20
Hard cost: contingency	$2,000,000	$16,667	$15
Hard costs, total	**$26,950,000**	**$224,583**	**$204**
Soft costs	$5,000,000	$41,667	$38
Initial reserves	$2,000,000	$16,667	$15
Total development budget	**$41,950,000**	**$349,583**	**$318**

Financing costs come on top and are on the Financing page: loan fee and unused-commitment fees $428,576, capitalised interest $4,890,929. Cost before financing and reserves is $39,950,000 ($303 a GSF).

HARD COST TRADE	AMOUNT	PER GSF
Site Work, Utilities & Off-Sites	$1,750,000	$13
Excavation, Shoring & Foundations	$2,000,000	$15
Concrete Podium & Superstructure	$3,650,000	$28
Exterior Envelope, Glazing & Balconies	$2,950,000	$22
Roofing, Waterproofing & Membrane	$550,000	$4
MEP & Fire Protection	$4,500,000	$34
Elevators & Conveying	$500,000	$4
Unit Interiors - Cabinets, Appliances, Fixtures	$4,550,000	$34
Amenity & Common Area Fit-Out	$1,000,000	$8
Landscape, Hardscape & Streetscape	$800,000	$6

SOFT COST LINE	AMOUNT	PER GSF
Architecture & Engineering	$1,480,000	$11
Civil, Landscape & Specialty Consultants	$370,000	$3
Environmental, Geotech & Survey	$200,000	$2
Entitlement, Zoning & Community	$300,000	$2
Permits, Impact, Utility & Housing Fees	$700,000	$5
Legal, Accounting & Organizational	$350,000	$3
Real Estate Taxes During Construction	$450,000	$3
Owner-Controlled Insurance Program	$300,000	$2
Marketing, Branding & Leasing Center	$250,000	$2
Testing, Inspection & Commissioning	$250,000	$2
Construction Management Fee to Sponsor	$350,000	$3

CONTINGENCY

No contingency register is entered. Contingency is the $2,000,000 in the hard-cost ladder and is spent in full in the budget.

INITIAL RESERVES

RESERVE	PURPOSE	FUNDED IN MONTH	AMOUNT	THAT MONTH'S COST WAS PAID BY
Operating / lease-up	Operating / lease-up	26	$750,000	month 26: equity $0, loan $777,020
Debt service / interest	Held	1	$750,000	month 1: equity $9,950,000, loan $0
Other initial reserves	Held	1	$500,000	month 1: equity $9,950,000, loan $0
Total funded			**$2,000,000**	

BY PURPOSE	FUNDED	USED	RELEASED WITH THE SALE
Operating / lease-up	$750,000	$208,366	$541,634
Held	$1,250,000	$0	$1,250,000
Total	**$2,000,000**	**$208,366**	**$1,791,634**

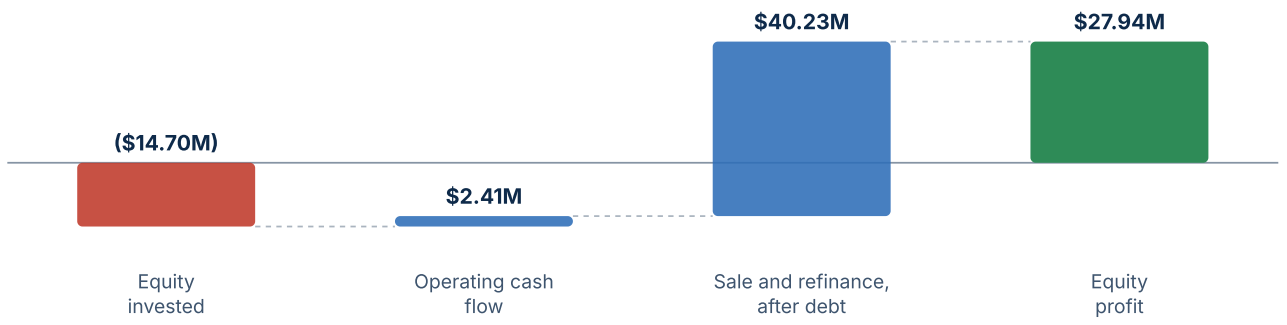
Reserves are a use of funds in the month they are funded (they are not an expense). The operating reserve pays the lease-up shortfall before the partners are asked; the interest reserve pays construction interest beyond the facility ceiling before equity does; whatever is left is released to the project with the sale. Funded equals used plus released ($2,000,000 = $208,366 + $1,791,634).

PERFORMANCE AND SENSITIVITY

ANNUAL CASH FLOW	YEAR 1	YEAR 2	YEAR 3	YEAR 4
Net operating income	–	–	293,031	3,086,492
Debt service	–	–	–	(972,434)
Asset management fee	–	–	–	–
Costs, takeout, sale and other	(14,700,000)	–	35,672	40,195,117
Net cash flow to equity	**(14,700,000)**	**–**	**328,703**	**42,309,175**
Cumulative	**(14,700,000)**	**(14,700,000)**	**(14,371,297)**	**27,937,878**

Where the profit comes from

Equity in, operating cash flow, then takeout and sale proceeds net of the loan.



Return sensitivity

Levered IRR as exit cap and rent growth move.

	4.50%	4.75%	5.00%	5.25%	5.50%
2.00%	38.19%	35.14%	32.21%	29.38%	26.65%
2.50%	38.33%	35.28%	32.35%	29.53%	26.80%
3.00%	38.47%	35.42%	**32.49%**	29.67%	26.95%
3.50%	38.61%	35.56%	32.64%	29.82%	27.09%
4.00%	38.75%	35.70%	32.78%	29.96%	27.24%

Levered IRR. Columns: exit cap rate. Rows: annual rent growth. Green meets the 12.00% hurdle, red is furthest below it. Outlined cell is the base case.

KEY ASSUMPTIONS

Land	$7.00M
Hard costs	$26.95M ($224,583/unit)
Soft costs	$5.00M
Construction	24 months
Lease-up	17 months
Exit cap rate	5.00%
Rent growth	3.00% / yr
Hold	4 years

WHAT BREAKS THE DEAL

Each break-even reruns the full model with one input moved until the levered IRR reaches the 12.00% hurdle (or equity just gets its money back). Red = below the hurdle. In the combined cases cost is the hard-cost overrun in %, rent the change in %, rate and cap the change in bps.

Exit cap rate at which the levered IRR equals the 12.00% hurdle	6.99% (+199 bps)
Exit cap rate at which equity gets its money back (1.00x)	8.26% (+326 bps)
Break-even sale value (equity profit zero)	$45.57M against $72.25M base (37.00% cushion)
Average rent at which the levered IRR equals the hurdle	$2,584 (-22.00% vs base)
Average rent for 1.00x coverage of the stabilised debt service of $2,333,842	$2,377 (-28.00% vs base)
Break-even occupancy for 1.00x coverage	68.20% (base 95.00%)
Hard-cost overrun at which the levered IRR equals the hurdle	+52.00%
Land price at which the levered IRR equals the hurdle	$20,271,007 (190.00% vs base)
Construction delay the deal can absorb before the IRR falls below the hurdle	more than 36 months

Delays move the sale by the same number of months. Cost overrun applies to hard cost including contingency. DSCR is stabilised NOI over annual debt service after stabilisation.

COMBINED DOWNSIDE CASES

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
Base case	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
1. Cost +10, rent −5, cap +50	$61.67M	$14.28M	13.90%	18.40%	18.00%	21.00%	1.78x	$3.25M	1.42x
2. Cost +15, rate +200, delay 6 mo	$72.25M	$20.69M	16.70%	20.90%	19.60%	31.00%	1.94x	$5.48M	1.13x
3. Rent −10, lease-up +6 mo, cap +100	$52.85M	$7.73M	9.60%	10.50%	11.50%	1.00%	1.57x	$0.38M	1.29x
4. Cost +20, rate +300, rent −10, cap +100	$52.85M	($0.45M)	6.10%	-0.70%	2.70%	—	1.09x	$6.97M	0.90x

SINGLE-VARIABLE SENSITIVITIES

EXIT CAPITALISATION RATE

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
-50 bps (4.50%)	$80.27M	$35.80M	26.30%	38.50%	32.40%	74.00%	2.84x	$0.38M	1.52x
-25 bps (4.75%)	$76.05M	$31.66M	24.30%	35.40%	30.10%	68.00%	2.66x	$0.38M	1.52x
Base (5.00%)	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
+25 bps (5.25%)	$68.80M	$24.57M	20.50%	29.70%	25.90%	55.00%	2.34x	$0.38M	1.52x
+50 bps (5.50%)	$65.68M	$21.50M	18.80%	26.90%	23.90%	48.00%	2.21x	$0.38M	1.52x
+75 bps (5.75%)	$62.82M	$18.70M	17.20%	24.30%	22.00%	41.00%	2.09x	$0.38M	1.52x
+100 bps (6.00%)	$60.20M	$16.14M	15.70%	21.70%	20.20%	33.00%	1.97x	$0.38M	1.52x

AVERAGE MONTHLY RENT

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
-15.00% ($2,814)	$59.01M	$14.21M	14.50%	19.60%	18.70%	27.00%	1.89x	$0.38M	1.25x
-10.00% ($2,979)	$63.42M	$18.78M	17.20%	24.30%	22.00%	41.00%	2.09x	$0.38M	1.34x
-5.00% ($3,145)	$67.83M	$23.36M	19.80%	28.60%	25.10%	52.00%	2.29x	$0.38M	1.43x
Base ($3,310)	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
+5.00% ($3,476)	$76.66M	$32.52M	24.70%	36.10%	30.60%	69.00%	2.70x	$0.38M	1.62x
+10.00% ($3,641)	$81.07M	$37.09M	27.00%	39.50%	33.20%	76.00%	2.90x	$0.38M	1.71x

CONSTRUCTION COST (HARD, INCL. CONTINGENCY)

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
Base budget	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
+5.00%	$72.25M	$26.40M	21.00%	30.40%	26.40%	56.00%	2.32x	$1.81M	1.52x
+10.00%	$72.25M	$24.90M	19.70%	28.20%	24.90%	51.00%	2.17x	$3.25M	1.52x
+15.00%	$72.25M	$23.41M	18.50%	26.00%	23.40%	45.00%	2.05x	$4.68M	1.51x
+20.00%	$72.25M	$21.93M	17.30%	23.90%	21.90%	39.00%	1.94x	$6.12M	1.51x

CONSTRUCTION LOAN RATE

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
Base (7.25%)	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
+100 bps	$72.25M	$27.04M	22.30%	31.80%	27.40%	59.00%	2.45x	$0.38M	1.31x
+200 bps	$72.25M	$26.12M	22.30%	31.00%	26.80%	58.00%	2.41x	$0.38M	1.14x
+300 bps	$72.25M	$25.19M	22.30%	30.10%	26.20%	56.00%	2.34x	$0.83M	1.02x

CONSTRUCTION DELAY (EXIT MOVES WITH IT)

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
Base schedule	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
3 months	$72.25M	$27.64M	21.10%	30.10%	26.10%	55.00%	2.49x	$0.40M	1.51x
6 months	$72.25M	$27.35M	20.10%	28.00%	24.50%	50.00%	2.49x	$0.42M	1.50x
12 months	$72.25M	$26.74M	18.20%	24.50%	21.90%	42.00%	2.50x	$0.45M	1.48x

LEASE-UP DELAY (EXIT MOVES WITH IT)

CASE	SALE VALUE	PROFIT	UNLEV. IRR	LEV. IRR	LP IRR	GP IRR	LP X	EXTRA EQUITY	DSCR
Base schedule	$72.25M	$27.94M	22.30%	32.50%	27.90%	61.00%	2.49x	$0.38M	1.52x
3 months	$72.25M	$27.65M	20.70%	30.10%	26.10%	55.00%	2.50x	$0.38M	1.50x
6 months	$72.25M	$27.35M	19.30%	28.00%	24.50%	50.00%	2.50x	$0.38M	1.47x
12 months	$72.25M	$26.74M	17.00%	24.40%	21.90%	41.00%	2.45x	$0.98M	1.44x

DISTRIBUTION WATERFALL

EQUITY	%	AMOUNT
LP	90.00%	$13,570,719
GP (sponsor)	10.00%	$1,507,858
Total equity	**100.00%**	**$15,078,576**

PROMOTE	HURDLE	LP	GP
Tier 1	8.00% pref	90.00%	10.00%
Catch-up	20.00% of profit	0.00%	100.00%
Tier 2	12.00% IRR	80.00%	20.00%
Tier 3	18.00% IRR	70.00%	30.00%
Tier 4	above	60.00%	40.00%

RESULTS	LP	GP
Contributed	$13,570,719	$1,507,858
Distributed	$33,841,536	$9,174,919
Profit	$20,270,817	$7,667,061
Return of capital	$13,570,719	—
Preferred return	$4,399,277	—
Excess cash flow	$15,871,540	$2,504,646
Promote	—	$6,670,273
IRR	27.92%	61.07%
Equity multiple	2.49x	6.08x
GP promote		**$6,670,273**

WATERFALL	CLOSE	YEAR 1	YEAR 2	YEAR 3	YEAR 4
Cash flow available for distribution	**($9,950,000)**	**($4,750,000)**	**–**	**$328,703**	**$42,309,175**
TIER 1 · RETURN OF CAPITAL + 8.00% PREFERRED RETURN					
Beginning balance	–	$8,955,000	$14,078,018	$15,207,466	$16,074,868
Preferred return accrued	–	$876,569	$1,126,253	$1,214,196	$1,209,811
Contributions	$8,955,000	$4,275,000	–	$155,424	$185,294
Distributions applied	–	($28,550)	$3,195	($502,218)	($17,469,974)
Ending balance	**$8,955,000**	**$14,078,018**	**$15,207,466**	**$16,074,868**	**–**
Distributed to LP (90.00%)	–	–	–	$451,257	$15,721,739
Distributed to GP (10.00%)	–	–	–	$50,140	$1,746,860
GP CATCH-UP · TO 20.00% OF PROFIT					
Distributed to GP (100.00%)	–	–	–	–	$1,927,613
TIER 2 · TO 12.00% IRR					
Beginning balance	–	$8,955,000	$14,500,300	$16,245,380	$17,844,087
Return accrued at 12.00% IRR	–	$1,312,309	$1,740,063	$1,945,712	$2,027,566
Contributions	$8,955,000	$4,275,000	–	$155,424	$185,294
Distributions applied	–	($42,009)	$5,016	($502,429)	($20,056,947)
Ending balance	**$8,955,000**	**$14,500,300**	**$16,245,380**	**$17,844,087**	**–**
Distributed to LP (80.00%)	–	–	–	–	$1,622,716
Distributed to GP (20.00%)	–	–	–	–	$405,679
TIER 3 · TO 18.00% IRR					
Beginning balance	–	$8,955,000	$15,131,744	$17,863,557	$20,726,021
Return accrued at 18.00% IRR	–	$1,963,021	$2,723,781	$3,209,496	$3,561,159
Contributions	$8,955,000	$4,275,000	–	$155,424	$185,294
Distributions applied	–	($61,277)	$8,032	($502,456)	($24,472,474)
Ending balance	**$8,955,000**	**$15,131,744**	**$17,863,557**	**$20,726,021**	**–**
Distributed to LP (70.00%)	–	–	–	–	$4,415,229
Distributed to GP (30.00%)	–	–	–	–	$1,892,241
TIER 4 · ABOVE 18.00% IRR					
Distributed to LP (60.00%)	–	–	–	–	$8,869,789
Distributed to GP (40.00%)	–	–	–	–	$5,913,193
PARTNER CASH FLOWS					
LP cash flow	**($8,955,000)**	**($4,275,000)**	**–**	**$345,972**	**$33,154,845**
GP cash flow	**($995,000)**	**($475,000)**	**–**	**($17,269)**	**$9,154,331**
GP promote (above its 10.00% pro rata share)	–	–	–	–	$6,670,273

Hurdle accounts accrue monthly at each hurdle rate on the LP's own contributions and are reduced only by what the LP receives, so a tier opens once the LP has reached that return. Close is the equity contributed at closing. Every figure is the engine's monthly waterfall rolled up by year.

CREDIT DECISION

CREDIT GATE	DEAL	POLICY	RESULT
Gross levered IRR (property) (hard)	32.49%	>= 12.00%	PASS
Net LP IRR (after promote) (hard)	27.92%	>= 12.00%	PASS
Net LP equity multiple	2.49x	>= 2.00x	PASS
High or critical risks	0	<= 2	PASS
Development spread (bps, development only) (hard)	296.09	>= 150	PASS

Decision: CONDITIONAL

CONDITIONAL — 1 MODEL WARNING

> **Model warning:** Costs exceed what equity plus the commitment can fund

> Model integrity: 0 failed, 1 warning, 22 passed, 0 not applicable.

Next step: The credit gates pass, but 1 model warning stands: Costs exceed what equity plus the commitment can fund. Approval is conditional on resolving or accepting them.

DELAY AND EXIT STRESS

STRESS TEST	LEVERED IRR	MULTIPLE	PROFIT	VS HURDLE
Base case	**32.49%**	**2.85x**	**$27.94M**	MEETS
Construction 6 months longer	30.81%	2.71x	$25.90M	MEETS
Lease-up 6 months slower	30.72%	2.72x	$25.93M	MEETS
Exit cap 50 bps higher	26.95%	2.43x	$21.50M	MEETS
Rent growth 1 point lower	32.21%	2.83x	$27.59M	MEETS
Delays and exit cap together	17.73%	1.83x	$12.54M	MEETS

Each row reruns the full model with the change shown. Cost-overrun stress is not shown: with the budget set from a source total, hard-cost changes are absorbed in the calibration.

ABOUT THIS SUMMARY

Prepared November 4, 2026 from the Punchlist Capital underwriting model (beta). Every figure is read from the live model for the Base case; the sensitivity grid and stress tests rerun the model. Development returns depend heavily on cost, schedule and exit assumptions. This summary is an analytical aid, not an offer or a fairness opinion. Check it against your own model before relying on it.

IMPACT TO PORTFOLIO

First deal in the portfolio: N/A
No other underwritten assets are saved in BK Capital, so there is no portfolio to compare against. This deal would be the first asset; the figures below are the deal on its own.

This deal on its own	Development · Multifamily
Equity invested / total cost	$15,078,576 / $39,950,000
Levered profit	$27,937,878
Levered IRR / multiple	32.49% / 2.85x

Once other deals are saved to the portfolio, this page shows the current assets and what adding this one changes: equity and leverage, the equity-weighted and combined (dated cash flow) IRR, the multiple, concentration in the largest asset, and the mix by property type and by development versus acquisition.

MODEL INTEGRITY AND LIMITS

Every line is recomputed independently of the engine (0 failed, 1 warning, 22 passed, 0 not applicable). A failed check holds the credit gate; a warning caps it at conditional.

AREA	CHECK	RESULT
Budget	Hard and soft cost totals equal the sum of their lines	PASS
Budget	Cost before financing equals land + closing + acquisition fee + pre-development + hard + soft + lease-up deficit	PASS
Sources & Uses	Total sources equal total uses	PASS
Debt	Every month's cost is paid by equity or a loan draw (debt draws follow costs)	PASS
Debt	Capitalised interest equals the opening balance x rate / 12 each month, and the balance rolls forward	PASS
Debt	The loan balance never exceeds the commitment	PASS
Debt	Principal drawn does not exceed the fixed facility amount	PASS
Debt	The debt repaid at sale equals the outstanding balance	PASS
Exit	Net sale proceeds equal the gross sale value less selling costs	PASS
Equity	The equity charged in the returns cash flow equals the equity in the funding ledger	PASS
Equity	LP + GP contributions equal total contributions: the equity ledger plus any operating shortfall the partners fund	PASS
Returns	Unlevered IRR and multiple are calculated	PASS
Equity	Costs exceed what equity plus the commitment can fund	WARNING
Returns	Levered IRR equals an independent XIRR of the dated cash flows	PASS
Returns	Equity multiple equals total distributions / total contributions	PASS
Waterfall	Tier 1 · preferred return	PASS
Waterfall	Tier 2 hurdle	PASS
Waterfall	Tier 3 hurdle	PASS
Waterfall	Tiers are paid in order	PASS
Waterfall	Every dollar is distributed once	PASS
Waterfall	Promote is the GP's excess over its pro-rata share	PASS
Waterfall	Distribution categories add to each partner's distributions	PASS
Waterfall	LP IRR equals an independent XIRR of the dated LP cash flows	PASS

Credit gate: CONDITIONAL
CONDITIONAL — 1 MODEL WARNING

> **Warning:** Costs exceed what equity plus the commitment can fund — $378,576 of costs are funded by equity over the planned amount ($14,700,000).

WHAT THIS MODEL CANNOT YET DO

- Costs are entered as 13 hard-cost trades and 16 soft-cost lines; lines in a brief are merged to fit, and each cannot be escalated or reforecast on its own.
- The contingency register tracks allocations, change orders and forecast; it does not post spending against individual cost lines. Initial reserves are tracked in total by purpose, not as separate balances per reserve.
- Interest is capitalised only through stabilisation; the brief's capitalisation through the sale is not an option.
- Who earns the preferred return and what the GP catch-up runs to are taken from the deal's inputs; where the offering documents are silent they are the deal team's to confirm.
- A refinance is illustrated at stabilisation; the property is still sold at the end of the hold.
- Source citations, extraction confidence and broker-versus-model discrepancy reporting are not part of this summary.